PRICING YOUR OFFER

GOH CONSULTING

Foundation

Most people price to get more yesses

- We price to maximize profit and peace of mind

That means saying no to clients even if they have enough money because we will make more when we charge more (in the long run)

- Better client expectations
- Better quality of client
- Less fulfillment/ stress
- More profit

First lets understand what gets someone to buy

- People buy when perceived value > price

Goal: make it feel like buying “money at a discount”

- Ex. $100k of value for $10k

When you can achieve this, you have a money printing machine

The Value Equation

$$\frac{\text{Dream outcome} \times \text{Perceived likelihood of success}}{\text{Time delay} \times \text{Effort and sacrifice}} = \text{VALUE}$$

Dream outcome: Is the end result meaningful to them?

Perceived likelihood of success: Do they think they’re actually going to succeed?

Time delay: How long will it take them to see the final result?

Effort and sacrifice: Additional costs to achieve XYZ

The goal is to get the bottom to 0

- Decrease time, effort, and sacrifice
- How can i make it more convenient, seamless, and less effort

Then focus on increasing the top

- Increase meaningfulness of the end result
- Increase the likelihood they they will succeed

Avoid this mistake

What most coaches do

1. Look at market place
2. See what everyone else offers and take the average
3. Price slightly below to remain "competitive"
4. Provide what their competitors offer with "a little more"
5. End up at a value proposition for "more for less"

High prices = high value

Experiment conducted on a blind taste test on wine

Cheap, medium, expensive

All of them were the same wine but with different price tags

People perceived more value because the price was higher

Goal: Be so expensive that a consumer must pause and think "this can't be the same category of solution as everyone else" making you a category of one

How to price your offer?

Step 1: Define your "conservative outcome"

- What is a reasonable 5 month outcome your ideal client would get if they implemented half of what you taught them?
    - Ex. Revenue added, Revenue saved, Value of time saved

Step 2: Apply the ROI rule

- Charge roughly 1-3 months of that outcome as your core price so it feels like they're buying this value at a discount
    - Ex. $100k of value for $10k

Step 3: Final check

- Your client should be able to comfortably earn back the fee halfway through your program in 3-6 months of starting. If not, improve the offer or lower the price

Payment Plan Architect

You never want to have just "one price" -> Structure how they pay

- Goal: Incentivize getting more cash upfront to double down on long term growth and invest in talent

Cash flow is king -> allows you to grow faster

$6k offer

- PIF: $6k
- Payment Plans: $7k
    - $3.5k x 2
    - $1.75k x 4 (this is the worst case scenario, then u show them this option)

Only give them one option at a time -> control the situation

- Everyone will opt for the payment plan, it is your job to collect as much upfront so you can serve more customers

Increase cash flow, reward decisiveness, and build long term MRR

Rules For Raising Prices

1. Price to make the most money, not to get the most customers.
2. Higher prices = fewer customers but more profit and lower delivery cost.
3. If you raise prices and completely stop selling, you went too far.
4. If people complain about value vs cost, your value–price gap shrank too much. Fix value or lower price.
5. Different avatars can and should have different prices. Don't charge the scrappy beginner what you charge the 7-figure operator.

Execution Roadmap:

- Every 90 days, raise the price 10–20%.
- Track:
    - Close rate
    - Refunds / complaints
    - Profit per client

If profit per client goes up and complaints stay low, the new price stands. If not, adjust.

Long term pricing strategy (complex)

You are not done when you "pick a number"

- You are done when you test it

Profit score = sales conversation rate x lifetime gross profit per client

Process

1. Take your current price as Control A
2. Raise price by 20-50% for Variant V
3. Estimate

    a. Conversion rate
    b. Lifetime gross profit per client
4. If (conversion B x profit B) > (conversion A x profit A)
    a. Keep higher price
5. Repeat this quarterly until the score goes down